EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

B. Scope and Objective of Audit

The audit covered the accounts and operations of the Municipality of Lasam for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Lasam, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	669,313,002.12	624,082,353.84	45,230,648.28
Liabilities	91,976,198.99	128,398,489.94	(36,422,290.95)
Government Equity	577,336,803.13	495,683,863.90	81,652,939.23
Financial Performance			
Income	214,083,506.97	244,550,098.03	(30,466,591.06)
Expense	186,435,912.43	204,472,983.55	(18,037,071.12)
Net Income	27,647,594.54	40,077,114.48	(12,429,519.94)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Development of Lasam Town Center	6,996,385.67
Development of Lasam Public Market	6,995,155.13
Purchase of Grader	3,980,000.00
Development of Municipal Hall Phase III	2,645,016.91
Concreting of Farm to Market Road @ Tucalan Passing	2,213,859.83
Improvement of Town Center	2,112,227.45
Development of New Public Cemetery (Phase III)	1,587,778.36
Concreting of FMR at Alannay	998,550.63
Concreting of FMR at IBJ	998,448.66
Road Opening of FMR at Centro 01	998,414.71
Total	**29,525,837.35**

E. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lasam, Cagayan for the year-ended December 31, 2023 due to: (1) irregularities in the conduct of the one-time cleansing of the PPE accounts, thus, affecting the reliability of the said account amounting to P449,460,039.01; and (2) non-conduct of physical count of local road networks, thus, affecting the reliability of the said account amounting to P170,083,669.14.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The Cashbooks maintained by the Municipal Treasurer for the Cash in Local Treasury for the General Fund, Special Education Fund and Trust Fund were not reconciled with the accounting records at least quarterly, contrary to Section 181 (c) of GAAM Vol. I and Book 2 Chapter 2 Section 63 of Local Treasury Operation Manual of Bureau of Local Government Finance, hence, exposing the funds to risks of loss and misappropriation, and the Municipal Treasurer and Municipal Accountant are not able to correct errors immediately.

We recommended that the Municipal Treasurer and Municipal Accountant reconcile the cashbook balance with the accounting records at least quarterly in accordance with the aforementioned regulations and immediately record the necessary correcting entries to ensure that the balances therein of the Cash in Local Treasury are reconciled.

2. Despite strict monitoring of the Municipal Accounting Office on the submission of liquidation reports by various barangays of the Municipality, the amount of P2.359 million or 58t% remained unliquidated from the total unliquidated fund transfers to barangays totaling P4.059 million in CY 2022.

   On the other hand, five (5) barangays were still granted new financial assistance even with unliquidated balances in previous years, which is not in accordance with Items 3.1.1 and 3.1.2 of COA Circular No. 2012-001 date June 14, 2012, thus, resulted in the accumulation of unliquidated fund transfers totaling P3.514 million as of December 31, 2023.

   We recommended that the Management instruct the Municipal Accountant to:

   A. Require the concerned barangays to submit immediately the liquidation reports for the previous years' and current year's fund transfers amounting to P2,359,873.08 and P1,154,500.00, respectively;

   B. Continue the strict monitoring of the submission of liquidation reports and the issuance of demand letters to concerned barangays who failed to comply therewith. This will ensure immediate submission of liquidation reports after the purpose/s for which it was granted has been served or completed; and

   C. Prohibit the payment of fund transfer unless the required certification that previous fund transfers have already been liquidated or accounted for, thus avoiding accumulation of past due accounts pursuant to Item 3.1.1 of COA Circular No. 2012-001 dated June 14, 2012.

3. The Municipality was able to implement thirty-three (33) out of thirty-seven (37) infrastructure projects programmed under the 20% Development Fund, in which twenty-seven (27) projects were completed and six (6) are on-going as of year-end. This is a reflection of a strong commitment of the LGU to bring the benefits of socio-economic development to its constituents.

   Moreover, the LGU has excess funds from various completed projects funded from the continuing and current year appropriations of the 20% Development Fund totaling P776,410.46, which can be reverted to the unappropriated surplus in accordance with Section 322 of R.A. No. 7160, to serve as additional funds for other expenditures or priority development projects of the Municipality.

We recommended that the Management:

A. Continue the implementation of the projects funded under the 20% Development Fund and show their commitment in serving the constituents of the Municipality;

B. Inquire from the DENR the status of the Environmental Compliance Certificate for its Sanitary Landfill project to facilitate its immediate approval; and

C. Revert all savings from completed projects to the unappropriated surplus, which shall be available for use for other expenditures or priority development projects of the LGU.

4. The Capital Outlay component of the CY 2023 appropriation for Local Disaster Risk Reduction Management Fund totaling to P98,920.00 was erroneously transferred to the Special Trust Fund, which is not in accordance with Items 5.1.10 and 5.1.11 of COA Circular No. 2012-002 dated September 12, 2012, resulting to the overstatement of the Trust Liability-DRRM account in the Trust Fund books.

   We recommended that the Municipal Budget Officer, in coordination with the Head of the MDRRMO, conduct a thorough review and evaluation of the programs, projects, and activities contained in the LDRRMFIP to ensure that appropriations thereto are appropriately classified as Capital Outlay or MOOE. The unexpended balances of the current year LDRRMF classified as MOOE shall be transferred in the Special Trust Fund while the unexpended Capital Outlay shall remain in the General Fund.

   Moreover, we recommended that the Municipal Accountant draw the appropriate adjusting entry to return the balance of P98,920.00 from the Trust Fund to the General Fund books.

5. Retention money of at least equivalent to one percent (1%) of the total contract price was not deducted from the payment to the supplier which should have covered the obligation for warranty pursuant Section 62.1 of the Revised IRR.

   We recommended that the Management require Powertrac Incorporated to submit a special bank guarantee equivalent to at least one percent (1%) of the total contract price which will cover the warranty obligation of the supplier, in accordance with Section 62.1 of the Revised Implementing Rules and Regulations.

G. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	679,640.45	-	-	679,640.45	-
Current Year	-	-	-	-	-
Total	**679,640.45**	**-**	**-**	**679,640.45**	**-**
Disallowances					
Prior Years	16,576,891.60	-	273,072.08	16,303,819.52	1.65%
Current Year	-	-	-	-	-
Total	**16,576,891.60**	**-**	**273,072.08**	**16,303,819.52**	**1.65%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of fifteen (15) audit recommendations embodied in the CY 2022 Annual Audit Report, eight (8) were fully implemented, five (5) were partially implemented and two (2) were not implemented.